

THE WALL STREET JOURNAL.

DOW JONES | *News Corp* * * * * * **MONDAY, JANUARY 27, 2025 ~ VOL. CCLXXXV NO. 21** **WSJ.com** ★★★★★ \$5.00

Last week: **DJIA** 44424.25 ▲ 936.42 2.15% **NASDAQ** 19954.30 ▲ 1.7% **STOXX 600** 530.07 ▲ 1.2% **10-YR. TREASURY** ▼ 3/32, yield 4.624% **OIL** \$74.66 ▼ \$2.73 **EURO** \$1.0504 **YEN** 156.02

What's News

Business & Finance

◆ **The extra reward for** owning stocks over bonds vanished in December as Treasury yields rose and equity valuations soared, potentially posing a threat to the rekindled stock rally. **A1**

◆ **Meta Platforms'** loosening of speech restrictions is unsettling advertisers, who say a decade of efforts to protect their reputations is at risk. **A1**

◆ **Activist investor Ancora** is readying a proxy battle at U.S. Steel and wants the company to abandon its blocked union with Nippon Steel, people familiar with the matter said. **B1**

◆ **QXO is preparing** to take its all-cash offer to acquire Beacon Roofing Supply directly to shareholders after being rebuffed on multiple occasions, people familiar with the matter said. **B9**

◆ **Diversified Energy** is in advanced talks to acquire private-equity-owned Maverick Natural Resources in what would be its largest acquisition ever, people familiar with the matter said. **B3**

◆ **Media-measurement** firm Nielsen informed ad-buyers that it would stop selling its stand-alone consumer panel-based television ratings in the fourth quarter. **B4**

◆ **Hackers last year stole** sensitive information on about 190 million people in a cyberattack on a UnitedHealth Group subsidiary that roiled the U.S. healthcare industry, the company revealed. **B5**

◆ **Pfizer will pay** \$60 million to settle allegations that one of its subsidiaries incentivized providers to prescribe one of its drugs, resulting in the submission of false claims to federal healthcare programs. **B5**

World-Wide

◆ **Trump dropped his threat** to impose 25% tariffs on Colombian goods after the South American country reversed course and agreed to accept deported nationals, the White House said. **A1**

◆ **Momentum is growing** among Trump's advisers to slap 25% tariffs on Mexico and Canada as soon as Saturday. **A2**

◆ **Trump's proposal** that Palestinians vacate a devastated Gaza marked a sharp break with his predecessor and introduced a contentious new initiative into his unfolding Middle East diplomatic plans. **A1, A6**

◆ **Big shipping companies** said they won't send vessels back to the Red Sea despite a pledge by Houthi militants in Yemen not to attack them as long as a cease-fire in Gaza holds. **A6**

◆ **Weekend rains** threatened to trigger dangerous mudslides in hillside communities leveled by Southern California wildfires in the past two weeks. **A3**

◆ **The White House fired** inspectors general across a range of federal departments in unpublicized dismissals, moving against the watchdogs helping to oversee government accountability. **A4**

◆ **The CIA concluded** that the Covid-19 pandemic most likely arose from a lab leak, lending credibility to a view long debated among scientists and politicians. **A3**

◆ **Ukrainian prosecutors** said a graphic video circulating online shows Russian troops executing six prisoners of war, the latest in what they allege is a spate of killings by Moscow's forces. **A7**

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Displaced Palestinian families waited to return to the northern Gaza Strip from southern Gaza on Sunday.

Proposal to Vacate Gaza Stuns All Sides, Scrambles Diplomacy

By MICHAEL R. GORDON
AND ALEXANDER WARD

President Trump's Saturday night proposal that Palestinians vacate a devastated Gaza marked a sharp break with his predecessor and introduced a contentious new initiative into his unfolding Middle East diplomatic plans.

Trump said the resettling of the Palestinians from Gaza "could be temporary or long term."

His statement could mark a dramatic shift in U.S. policy

toward Palestinians under presidents of both parties. No recent White House has suggested the long-term departure of Palestinians from Gaza, which most U.S. presidents have seen as a part of an eventual Palestinian state.

"It's literally a demolition site right now," he said. "So, I'd rather get involved with some of the Arab nations, and build housing in a different location, where they can maybe live in peace for a change."

But on Sunday Trump officials suggested the U.S. and re-

gional partners could provide guarantees the Palestinians would eventually be allowed to return, sketching out an assurance that appeared designed to make the idea more politically palatable to Arab states.

Officials have yet to spell out the parameters of the suggestion, including how the more than two million Palestinians in the enclave could be relocated and whether they might eventually fulfill their aspirations to fully govern their own territory.

"You're talking about a mil-

lion and half people, and we just clean out that whole thing," Trump said. "You know over the centuries it's had many, many conflicts. And I don't know, something has to happen."

Jordan, which Trump has urged to accept refugees from Gaza temporarily or for the long term, summarily dismissed the idea. It was also rejected by the Palestinian Authority, which

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◆ **Trump urges Jordan, Egypt to take in refugees**..... A6

Trump Drops Threat of Tariffs on Colombia

Reversal comes after Bogotá agrees to accept return of deported migrants

President Trump on Sunday night backed off a threat he had made earlier in the day to impose 25% tariffs and economic sanctions on Colombia, which the White House said had met its demands to repatriate migrants into the South American country.

By Alyssa Lukpat,
Juan Forero
and Sadie Gurman

Trump had issued the threat Sunday afternoon in retaliation for the Colombian government refusing to allow two military planes with migrants to land in the country. But after behind-the-scenes negotiations between the two countries, the White House announced that Colombia had "agreed to all of President Trump's terms, including the unrestricted acceptance of all illegal aliens from Colombia returned from the United States."

The tariff plans would be "held in reserve" unless the Colombian government did not honor the agreement, the White House said.

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◆ **Mexico, Canada levies are put on fast track**..... A2

Premium For Owning Stocks Vs. Bonds Disappears

By HANNAH ERIN LANG

Stocks haven't looked this unattractive, by at least one measure, since the aftermath of the dot-com era. Plenty of investors are piling in anyway.

The equity risk premium, often defined as the gap between the S&P 500's earnings yield and that of 10-year Treasuries, turned negative in late December for the first time since 2002 and sat last week at negative 0.15 percentage point. The metric is based on a calculation of how much stocks yield, which is derived by dividing the stock market's expected earnings by its price. The earnings yield is then compared with the yield on government debt.

The difference between stock and bond earnings yields shows how much investors are compensated for the additional risk of owning stocks over relatively risk-free government bonds. Over the long term, stocks need to promise a higher reward than bonds. If not, the safety of Treasuries would outweigh the risks of stocks losing some, if not all, of investors' money.

In recent weeks, a combination of higher Treasury yields and soaring equity valuations pushed the equity risk premium into the red. That could pose a threat to the recently rekindled stock rally.

In reality, though, there has been little sign of crimped demand for equities among individual investors, who remain bullish after two years of blockbuster gains.

"I think you get what you pay for," said Mike Ugino, a 73-year-old retired surgeon in Columbia, S.C. High valuations haven't deterred him from scooping up more shares of Robinhood Markets, Nvidia

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Chiefs, Eagles in Super Bowl



NEW ORLEANS BOUND: Quarterback Patrick Mahomes, left, and his Chiefs will seek a record third straight Super Bowl title on Feb. 9 after beating the Bills. They face Jalen Hurts and the Eagles. **A14**

Long-Shot Bettors Fuel Gambling Sites

Sports parlays turn small wagers into the industry's biggest moneymaker

By KATHERINE SAYRE
AND ISABELLA SIMONETTI

Alix Haberkern knew her sports bet on DraftKings was a long shot.

The football fan decided to make 14 predictions on NFL players' performances over several games one Sunday in December, including touchdowns, receiving yards and rushing yards. She used

a \$10 credit from the betting company to place a multileg bet. If every player lived up to her expectations, she would win \$22,000.

As the NFL games unfolded, 13 of her picks hit. Only one player stood between her and the cash: Los Angeles Rams wide receiver Cooper Kupp, who needed 70 or more receiving yards.

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Nation's Carnivores Have A \$3 Billion Meat-Stick Habit

* * *

The fastest-growing snack category draws new fans and a flood of offerings

By JENNIFER WILLIAMS

Most mornings, Greg Brooks wakes up and heads to a 7-Eleven for a meat stick.

He's promptly bombarded with choices, from the classic Slim Jim to a proliferation of options promising to be healthier and less processed.

Brooks, 59, won't bite. He's in the meat-stick aisle for quick protein and a flavor hit.

"Delicacy is sort of lost on me," he said. "I am not that guy out there looking for the latest artisanal, 'nuns on top of a mountain put together these very special' meat

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Meta Toils to Calm Advertisers' Fears Of Unbridled Speech

By SUZANNE VRANICA
AND PATIENCE HAGGIN

When Meta Platforms Chief Executive Mark Zuckerberg unveiled sweeping changes this month to loosen the company's restrictions on speech, he talked about how the "legacy media have pushed to censor" content, how the recent election was a "cultural tipping point," and how fact-checkers "destroyed more trust than they've created."

Meta executives had a very different emphasis in a Jan. 17 call with advertisers. They focused on the steps brands can take to keep their ads from appearing near content they deem out of bounds, whether it is misinformation or offensive speech. "In terms

of brand safety, we are 100% committed," Meta ad executive Samantha Stetson told the advertisers, according to a recording.

That isn't the way advertisers see it. Instead, they sense a profound vibe shift. For the better part of a decade, the dialogue between Meta and Madison Avenue has moved in one direction: The company pledged to do more to combat hate speech and misinformation on Facebook and Instagram, responding to grievances from brands as well as social and political pressures.

Now, a new cultural moment has arrived, punctuated by Donald Trump's return to the White House, and Meta's executives are carrying an un-

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